



State of Ohio Administrative Policy

No: ORM-02

Office of Risk Management

Effective:

May 21, 2024

State Self-Insured Motor Vehicle Liability and Self-Insured Vehicle Damage Program

Issued By:

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I. Purpose

Pursuant to Sections 9.83 and 9.822 of the Ohio Revised Code (ORC), the Department of Administrative Services, Legal Services Division, Office of Risk Management (ORM), operates the State of Ohio's Self-Insured Motor Vehicle Liability program (Liability Program) and Self-Insured Vehicle Damage Program (Damage Program). The purpose of this policy is to detail the specifics of these two programs. This policy does not constitute a policy of insurance. The first occurrence of a defined term in the policy is in bold, italic type.

II. Scope

The Liability Program covers liability claims made against the **State** as a result of the operation of **Agency-owned Vehicles** during the course of official State business.

The Damage Program has been established to cover the costs associated with repair or replacement of **Covered Vehicles** that have been damaged by fire, windstorm, or other accidents and perils.

Copies of this policy should be posted and distributed to all employees, officers, and **Authorized Operators** who may operate an Agency-owned Vehicle or Covered Vehicle in the scope of their employment or official duties.

III. Policy

- A. **Liability Program Terms & Conditions:** ORM will pay liability claims and judgments properly made and rendered against the State resulting from the operation of an Agency-owned Vehicle, provided the operation was during the course of legitimate State business, as authorized by the **Agency**.
1. Limits of Coverage: The Liability Program provides a combined single limit for bodily injury and property damage of \$2,000,000 per accident.
 2. Extensions of Coverage and Endorsements:
 - a) Leased/Rented **Vehicles**: Coverage is automatically extended for commercially leased or rented Vehicles and equipment at no additional charge. Certificates of self-insurance can be requested via the State of Ohio Risk Management Portal, which is accessible through <http://DAS.Ohio.gov/riskmanagement>.
 - b) Authorized Operators: Coverage for non-State employees may be provided, by special endorsement, for persons who operate Agency-owned Vehicles as authorized by the Agency, while serving the interest of the State. Endorsements can be requested via the State of Ohio Risk Management Portal, which is accessible through <http://DAS.Ohio.gov/riskmanagement>. No coverage shall be afforded to accidents involving non-State employees unless the endorsement was approved and issued prior to the time of the accident.
 3. Premium Allocation: Pursuant to ORC 9.823, a premium allocation, which may periodically change, will be charged to each participating Agency. Collected premiums shall be held in the risk management reserve fund for the payment of potential liability claims, expenses, fees, damages, and ORM administrative costs.
 4. Territory: Self-insurance coverage extends to losses occurring in the United States and Canada.
 5. Termination of Self-Insurance Coverage: Failure of an Agency to pay a premium within 60 days of the date of the invoice may result in a written notice of cancellation of self-insurance coverage. Cancellation of coverage will become effective 10 days after mailing of the notice.
 6. Unauthorized Use of Agency-owned Vehicles
 - a) Agency-owned Vehicles are authorized for use in the performance of all essential travel duties related to the completion of State business. They are not authorized for personal trips unrelated to the State business for which they were assigned or to attempt tasks which are beyond the vehicle's capabilities.
 - b) When in doubt, the decision must be based on whether the Agency-owned Vehicle's use will serve the interest of the State, rather than the **Driver**. Caution and discretion must be used at all times. For a listing of authorized and unauthorized use of State-owned Vehicles refer to Ohio Administrative Policy VF-01/Employee's Use of Employer Provided Vehicles (see Section VI).
 - c) If facts indicate an employee's, officer's, or Authorized Operator's use of the Vehicle may not have been authorized by the Agency requesting coverage for an Authorized

Operator, the Agency must provide ORM with immediate notification and the facts surrounding the incident. It is incumbent upon each Agency to pursue unauthorized operation charges pursuant to ORC 124.71. If the Agency fails to file charges, ORM reserves the right to do so.

- d) Any unauthorized operation of an Agency-owned Vehicle may result in immediate disciplinary action from the Driver's Agency and/or termination of coverage under the Liability Program by ORM. The Agency shall immediately notify ORM of any such disciplinary action.
- 7. Cooperation with Investigation: In the event of an accident, the Agency, officers, and personnel shall fully cooperate with ORM, Agency legal counsel, and the Attorney General during the claim process. Failure to cooperate may result in a denial of coverage under the Liability Program.
- 8. Exclusions: The below lists instances in which the Liability Program does not provide coverage.
 - a) To any Driver who is convicted of violating ORC 124.71, Unauthorized Operation of Motor Vehicles.
 - b) To any Driver who is operating, using, or responsible for a personally owned, leased, or rented vehicle. If an employee drives his/her personal Vehicle for State business, the employee's personal auto insurance is primary, and the Agency assumes all excess and vicarious liability.
 - c) To bodily injury or property damage caused intentionally by the Driver or at the direction of the Agency.
 - d) To liability assumed by the Agency under any other contract or agreement.
 - e) To any obligation for which the Agency or ORM may be held liable under any workers' compensation, unemployment compensation, disability benefits law, or under any similar law.
 - f) To property damage, injury, or destruction to:
 - (i) Property owned by, in the charge of, or being transported by the Agency, or;
 - (ii) Property rented to or in the care, custody, or control of the Agency, or over which the Agency is for any purpose exercising physical control. However, such property may be covered by the statewide property program and/or the self-insured tort liability program and should be reported to ORM. The statewide property program is annually renewed and any questions regarding coverage may be directed to ORM. The self-insured tort liability program is detailed in Ohio Administrative Policy ORM-01/Tort Liability Self-Insurance (see Section VI).
 - (iii) To acts of war, whether declared by Congress, civil war, insurrection, rebellion or revolution, or any act or condition incidental to any of the foregoing. This exclusion does not apply to the use of Agency-owned Vehicles for response to a declaration of a state of emergency issued by the Governor.
 - g) To all aircraft including UAVs and aerostats for which commercial insurance has been purchased.

- h) To any Vehicle, including watercraft, if the Federal Tort Claims Act required the U.S. Attorney General to defend the operator in any civil action or proceeding that may be brought due to its use.
 - i) To any Agency whose Driver is operating under license suspension or revocation, unless special work privileges awarded by a court are provided to and approved by ORM. If approval is not received from ORM and the Agency permits the Driver to operate an Agency-owned Vehicle, liability will be transferred to the Agency.
 - j) To any Agency whose Driver is driving without a valid driver's license, regardless of whether the Agency knew that the Driver did not possess a valid driver's license. Payment of any court judgment or settlement agreement will be the responsibility of the Agency.
9. Suspension of Coverage of Drivers: ORM reserves the right to suspend coverage if the Driver's actions present a threat to the motoring public. The duration of the coverage suspension will depend on the specific facts surrounding the incident up to and including the possibility of permanent termination of coverage.
10. **Driver Abstract** Reviews
- a) ORM shall conduct reviews of all active employees' driving records at least once per fiscal year to ensure they are eligible for coverage. Agencies may opt to have reviews done monthly or quarterly to support loss control and mitigate the risk to the motoring public. A Driver Abstract will be obtained from the Ohio BMV, or from the state of issuance if the employee has an out of state license. Employees with an out of state license will be required to sign a disclosure and authorization form. If the employee fails to provide the form, the employee shall be uninsurable under the Liability Program and shall not drive any Vehicle in the course of State business, regardless of whether the Vehicle is Agency-owned. Accidents previously reported to ORM involving the Driver's operation of a Covered Vehicle shall also be included in the review.
 - b) If the review of the Driver Abstract reveals that the Driver does not have a valid driver license, the Driver shall be uninsurable under the Liability Program and shall not drive any Vehicle in the course of State business, regardless of whether the Vehicle is Agency-owned. Extenuating circumstances may be considered that include court-awarded limited driving privileges or medical conditions, but do not guarantee continued coverage.
 - c) As part of the Driver Abstract review, ORM shall determine if there are **Major Moving Violations**. Multiple violations resulting from the same occurrence may be considered as separate violations. If a Driver has had 7 or more **Minor Moving Violation** convictions in the last 3 years, 2 or more Major Moving Violation convictions in the last 3 years, or a combination of more than 2 Minor Moving Violation convictions and 1 or more Major Moving Violation convictions in the last 3 years, coverage will be suspended until the driving record meets the criteria for **Moderate-Risk** or **Low-Risk**. A habitual pattern of **High-Risk** behavior evident in the

full driving history could result in a longer coverage suspension or permanent cancellation of coverage.

11. Probationary Coverage: In the event an employee has received notice of a suspension of coverage due to being classified as High-Risk, and they are required to drive for their State duties, they may request approval for probationary coverage.
 - a) To be eligible for probationary coverage, the following criteria must be met:
 - (i) This is the first time an employee has been designated High-Risk.
 - (ii) The Driver Abstract does not include the following Major Moving Violations: speeding 30+ mph over the posted limit, any violations involving alcohol or drug impairment (including reckless operation and physical control under the influence), fleeing/eluding police, felony (e.g., vehicular homicide/manslaughter).
 - (iii) No more than 2 Agency-owned Vehicle accidents (at-fault) in the last 3 years.
 - (iv) No moving violations received while operating an Agency-owned Vehicle in the last 3 years.
 - b) The employee, through their Agency HR or Fleet contact, must request probationary coverage in lieu of a coverage suspension. ORM will confirm the above criteria are met, at which point the employee must do the following:
 - (i) Complete an 8-hour remedial driving course approved by ORM and provide a certificate of course completion.
 - (ii) Sign the probationary coverage agreement confirming they understand the rules, and certifying there are no pending violations not shown on their driving record.
 - c) During the probationary coverage period, the employee's driving record will be checked every 60 days. Any additional moving violations (other than seatbelt violations) or license suspensions will result in revocation of the probationary coverage.
12. Reinstatement of Coverage: For those employees whose coverage has been suspended, ORM will review the facts of the suspension at the end of the suspension period and will determine if the employee is eligible for reinstatement. Subject to the approval of ORM, the employee must meet the following minimum conditions:
 - a) Completed review by ORM of the employee's Driver Abstract and being classified as Low- or Moderate-Risk.
 - b) Having acquired no additional moving violations while operating any Vehicle during the period of suspension of coverage.
 - c) A valid driver's license.
13. Reporting of Accidents: All accidents or occurrences arising from the operation of Agency-owned Vehicles shall be reported immediately to ORM through the State of Ohio Risk Management Portal. The Portal can be accessed from any computer or mobile device by going to the ORM website: <http://DAS.Ohio.gov/riskmanagement>.
14. Financial Responsibility: Ohio law requires you to show proof of financial responsibility. Each Agency-owned Vehicle shall keep a copy of the State's Certificate of Self-Insurance

in the glove box of the Vehicle for proof of financial responsibility. You may download copies of the Certificate of Self-Insurance from the ORM Website at: <http://DAS.Ohio.gov/riskmanagement>.

15. What To Do In Case of an Accident:
 - a) Notify the nearest State Highway Patrol post or local law enforcement agency to request that an investigation be conducted.
 - b) If there are any injuries dial 911.
 - c) Render assistance to any injured person(s) to the extent possible.
 - d) Do not discuss fault or limits of coverage.
 - e) Do not discuss the details of the accident with anyone except the investigating law enforcement officer.
 - f) Obtain names, addresses, and phone numbers of all witnesses and person(s) involved.
 - g) Obtain the name and address of the insurance company and the person(s) involved.
 - h) Notify your supervisor and/or fleet liaison as soon as possible.
 - i) Obtain the name of the responding law enforcement division and the accident report number.
16. Settlement activity and ultimate settlement authority lies with ORM.

B. Damage Program Terms and Conditions

1. Coverage: ORM will pay for “loss” to a Covered Vehicle or its equipment, including attached trailers, under:
 - a) Comprehensive Coverage: Damage from any cause except collision with another Vehicle or object, or overturn.
 - b) Collision Coverage: Damage caused by collision with another Vehicle or object, or Vehicle overturn.
 - c) Towing & Storage: We will pay towing and labor costs incurred when the Vehicle is disabled. Storage fees will be reimbursed provided the Agency takes the necessary action to move the Vehicle as soon as possible to avoid accumulation of unnecessary storage fees.
 - d) Rental Reimbursement: We will pay the cost of renting a replacement vehicle, provided the Agency does not have any additional Vehicles available for use. Costs will be reimbursed based on the current State contract rates, or subject to the pre-approval of ORM if a State contract is not being utilized.
 - e) ORM reserves the right to transfer the risk for physical damage to any Vehicle by purchasing a commercial insurance policy.
2. Premiums: Annual rates by class will be actuarially determined. Agencies may opt into the Damage Program by **Vehicle Class**. Premiums will be charged based on the recorded counts for each class as of the annual renewal certification. There will be no pro-rata adjustments for Vehicles coming into service or out of service during the fiscal year. However, coverage will be afforded to new Vehicles in covered classes acquired during

the fiscal year. In the event an Agency requests coverage for the first time after the beginning of the fiscal year, the premiums by class will be pro-rated for the remainder of the year.

3. Exclusions: The below lists instances in which the Damage Program does not provide coverage.
 - a) Loss due to wear and tear, freezing, mechanical or electrical breakdown, unless a collision or fire occurs as a result.
 - b) Blowouts, punctures, or other road damage to tires unless caused by a collision with another Vehicle or object, including potholes.
 - c) Contents within the Vehicle, including employee-owned personal items, or State assets, except components and features that are permanently installed parts of the Vehicle. This exclusion does not apply to law enforcement related equipment.
 - d) Loss due to the diminution of value.
4. Limit of Insurance
 - a) ORM will pay the full cost of repair, or the cost of replacement if the Vehicle is a **Total Loss** or is a total theft. Replacement cost will be determined by the current State contract pricing for the same class of Vehicle and of similar size and trim package. ORM will pay for specialty equipment if it is purchased and installed by the manufacturer or another vendor. Coverage for specialty equipment that is being purchased and installed by the Agency instead of the manufacturer or dealership is subject to review and approval by ORM. In the event the Agency wishes to upgrade the replacement Vehicle or add equipment that was not in the Total Loss Vehicle, the additional cost associated with the betterments will be the responsibility of the Agency.
 - b) In the event the Agency does not wish to replace a Vehicle that has been deemed a Total Loss, ORM will pay the actual cash value (ACV) of the Vehicle as of the date of loss. All ACV payments made to an agency are full and final.
5. Deductible: The deductible per occurrence/Vehicle is \$0.
6. Subrogation and Salvage: In the event a Covered Vehicle repair or replacement is paid through the Damage Program and there is an opportunity for full or partial recovery due to subrogation against an at-fault third party, or the Vehicle is salvaged, all recovered funds shall be deposited back into the risk reserve fund.

IV. Definitions

- A. Agency or State Agency. Pursuant to ORC 9.82(G), State Agency means every department, bureau, board, commission, office, or other organized body established by the constitution or laws of this State for the exercise of any function of State government, the general assembly, all legislative agencies, the supreme court, and the court of claims. State Agency does not include any State-supported institutions of higher education, the public employees' retirement system, the Ohio police and fire pension fund, the State teachers' retirement

system, the school employees' retirement system, the State highway patrol retirement system, or the city of Cincinnati retirement system.

- B. Agency-owned Vehicle. Any automobiles, trucks, Vehicles with auxiliary equipment, self-propelling equipment or trailers, aircraft (including unmanned aerial systems (UAS/drone) and aerostats, or watercraft which are owned, commercially leased, or rented by an Agency of the State.
- C. Authorized Operator. Any non-State person who has been approved by ORM for coverage extension under a designated agent endorsement, as specified by Section III.A.2.b.
- D. Covered Vehicle. With regard to the Damage Program section of this policy, Covered Vehicle means any Vehicle owned or leased by an Agency in a class for which the Agency has selected coverage.
- E. Driver. Any State employee, inmate, volunteer, or other Authorized Operator.
- F. Driver Abstract. The 3-year record of moving violation convictions, accident involvement reports, and other actions that result in license suspensions, revocations, or other disqualifications.
- G. High-Risk. 7 or more Minor Moving Violation convictions in the last 3 years, 2 or more Major Moving Violation convictions in the last 3 years, or a combination of more than 2 Minor Moving Violation convictions and 1 or more Major Moving Violation convictions in the last 3 years.
- H. Low-Risk. 0-4 minor moving violation convictions with no major violation convictions in the last 3 years.
- I. Major Moving Violation. Any violation with 4 or more court assessed points; leaving the scene of an accident; operating a vehicle under the influence of drugs or alcohol; racing or excessive speed (20 mph or more over the posted limit); reckless, negligent or careless driving; texting; felony homicide or manslaughter involving the use of a motor vehicle; driving under suspension or revocation; erratic lane changing/weaving; fleeing or eluding a police officer; or a violation of a statute or local ordinance where a statewide policy has been adopted restricting the specific conduct (e.g. Ohio Administrative Policy HR-47/Distracted Driving, see Section VI.).
- J. Minor Moving Violation. Any moving violation with less than 4 court assessed points that is not otherwise designated as a Major Moving Violation.
- K. Moderate-Risk. No more than 6 Minor Moving Violation convictions with no Major Moving Violation convictions in the last 3 years, or no more than 2 Minor Moving Violation convictions with 1 Major Moving Violation conviction in the last 3 years.
- L. State. Pursuant to ORC 9.82, State means the state of Ohio, including, but not limited to, the general assembly, the supreme court, the offices of all elected State officers, and all departments, boards, offices, commissions, agencies, institutions, and other instrumentalities of the state of Ohio. State does not include political subdivisions.
- M. Total Loss. A Vehicle is considered a Total Loss when the cost of repair is greater than or equal to the actual cash value at the time of loss, plus the salvage value of the Vehicle.
- N. Vehicle. Pursuant to ORC 9.85, includes automobiles, trucks, motor vehicles with auxiliary equipment, self-propelling equipment or trailers, aircraft, or watercraft.
- O. Vehicle Classes

1. 310-Passenger Vehicles and Light Trucks – Includes all Vehicles (not otherwise classified) with seating for no more than 15 passengers (including driver), or a gross vehicle weight of less than 10,000 pounds.
2. 311-Medium Weight Trucks – Includes all trucks (other than fire trucks) with a gross vehicle weight of 10,001 to 20,000 pounds.
3. 312-Heavy Weight Trucks – Includes all trucks (other than fire trucks) with a gross vehicle weight of over 20,000 pounds.
4. 313-Emergency Vehicles – Any Vehicle (excluding watercraft) equipped with rotating lights, flashers and sirens. Includes fire, law enforcement, ambulances and HAZMAT.
5. 314-Guest Vehicles – All Vehicles seating in excess of 15 passengers (including driver).
6. 315-Light Equipment – Motorized equipment, including mowers, tractors, forklifts, pallet trucks, motorcycles, trikes, golf carts, snowmobiles, amphibious/AT vehicles.
7. 316-Heavy Equipment – Large motorized equipment including construction equipment, pavers, excavators, street cleaners, cherry pickers, backhoes, and front-end loaders.
8. 317-Watercraft – All motorized watercraft (other than amphibious vehicles), including law enforcement watercraft.

V. Authority

ORC Sections 9.821, 9.822, 9.823, 9.83, 121.07

VI. Resources

Document Name	Location
ORM-01/Tort Liability Self-Insurance Policy	ORM-01
VF-01/Employee's Use of Employer Provided Vehicles	VF-01
HR-47/Distracted Driving	HR-47

VII. Inquiries

Direct inquiries about this policy to:

Office of Risk Management
Legal Services Division
Ohio Department of Administrative Services
4200 Surface Road
Columbus, OH 43228
Das.riskmanagement@das.ohio.gov

State of Ohio Administrative Policies may be found online at
<https://das.ohio.gov/home/policy-finder/filter-policy-finder>

VIII. Revision History

Date	Description of Change
3/20/2008	Original policy.
9/1/2009	Re-issued as GS-D-01
7/13/2015	Revised the policy to address current State insurance requirements. Also, transferred the policy content into a new State of Ohio Administrative Policy Template and renumbered VF-02.
12/21/2016	Revised the policy to insert references to State of Ohio Risk Management Portal.
12/21/2017	Scheduled Policy Review
6/12/2020	Revised the policy to clarify accident investigation cooperation, termination and reinstatement of coverage, and ultimate settlement authority.
08/30/2023	Revised the policy to update the Driver Abstract reviews and clarify key concepts of the Liability Program and include the Damage Program. Updated to new policy template. This revised policy replaces Policy No. VF-02.
05/21/2024	Revised Section III.A.10. regarding the requirement for disclosure an affirmation form for employees with an out of state license.